



# Governing Artificial Intelligence: Law, Policy, and Institutions

Law 4052 // Computer Science 283 // Communication 252A // Political Science 245B/445B  
Fall Quarter 2026-27

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# Attendance Code

| Gender Classifier                                                                          | Darker Male                                                                                | Darker Female                                                                              | Lighter Male                                                                               | Lighter Female                                                                             | Largest Gap                                                                                |
|--------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------|
|  Microsoft | 94.0%<br> | 79.2%<br> | 100%<br>  | 98.3%<br> | 20.8%<br> |
|  FACE**    | 99.3%<br> | 65.5%<br> | 99.2%<br> | 94.0%<br> | 33.8%<br> |
|  IBM       | 88.0%<br> | 65.3%<br> | 99.7%<br> | 92.9%<br> | 34.4%<br> |



Where do these disparities have come from?

sample of first four images generated for  
“computer programmer”

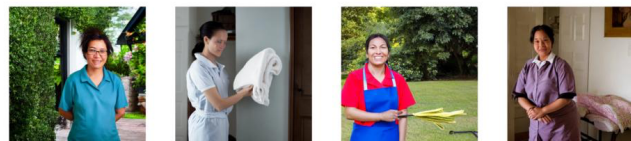
DALL-E v2



Stable  
Diffusion



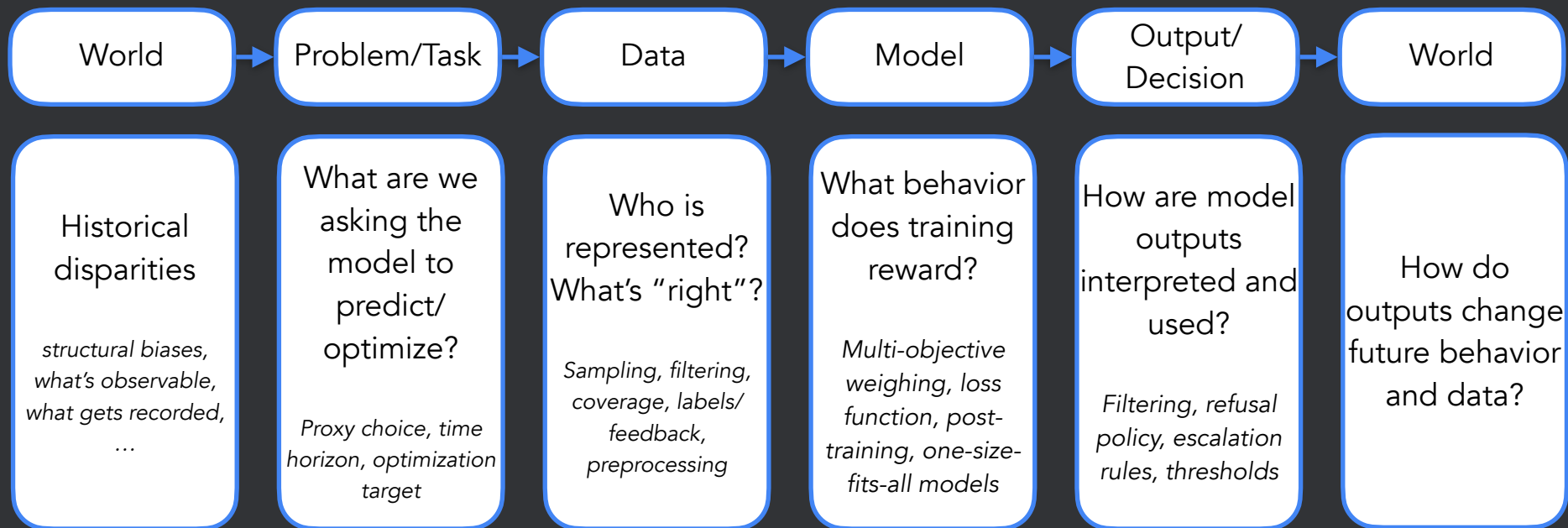
sample of first four images generated for  
“housekeeper”



Source: [Buolamwini et al. \(2019\)](#)

Source: [Naik \(2023\)](#)

# Where do disparities come from?



A perfectly trained model can faithfully reproduce problems already present in its data or target.

# Let's just use synthetic data!

## **Representation**

Add underrepresented groups.

## **Rare cases**

Generate examples that are difficult/expensive to collect.

## **Counterfactual coverage**

Generate controlled variations of otherwise similar cases.

Observed data (8 men, 2 women)



+ 6 women (synthetic data)



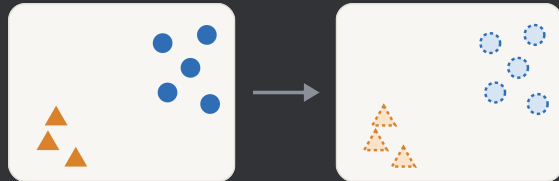
Balanced dataset



# Balancing counts $\neq$ balancing information

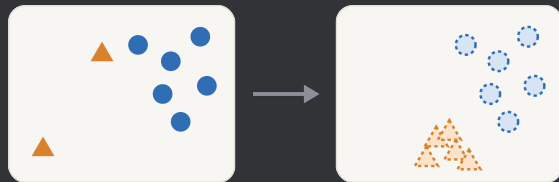
## 1. Replicate

Original stereotypes  $\rightarrow$  synthetic stereotypes



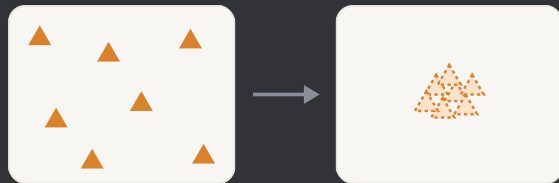
## 2. Amplify

Rare subgroup  $\rightarrow$  poorly learned distribution  $\rightarrow$  distorted synthetic subgroup



## 3. Flatten

Generate “average” members of a group  $\rightarrow$  erase within-group heterogeneity



### REAL DATA

Group A



Group B



### NAIVE SYNTHETIC BALANCING

Group A



Group B



# What kind of fairness do we want?

Suppose two groups receive different outcomes. What equality would we actually want?

- Same outcomes: Are groups getting positive outcomes at the same rate?
- Same errors: Are mistakes distributed equally across groups?
- Same meaning: When the model says “yes,” is it equally often right for each group?
- Same treatment: Are similar people treated similarly?

# Notions of fairness

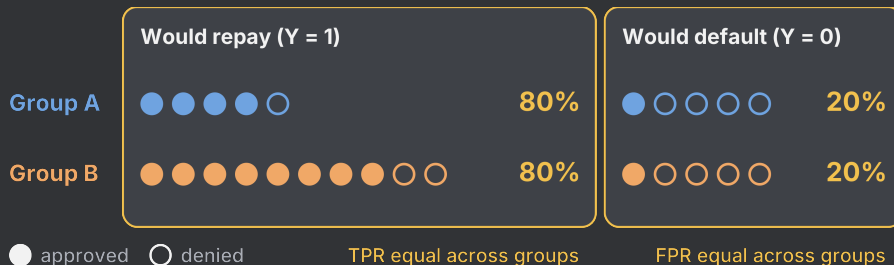
## Demographic parity

Same outcomes: Do groups receive loans at equal rates?



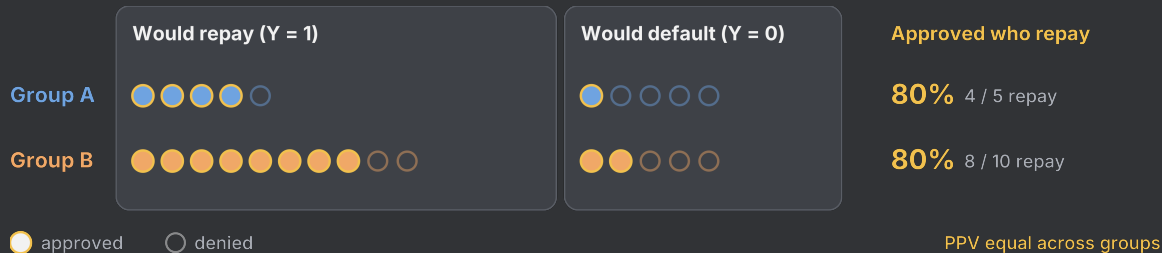
## Equalized odds

Same errors: Does the system make the same kinds of mistakes across groups?



## Predictive parity

Same meaning: When the model says "yes," is it equally often right about who repays for each group?



# Notions of fairness

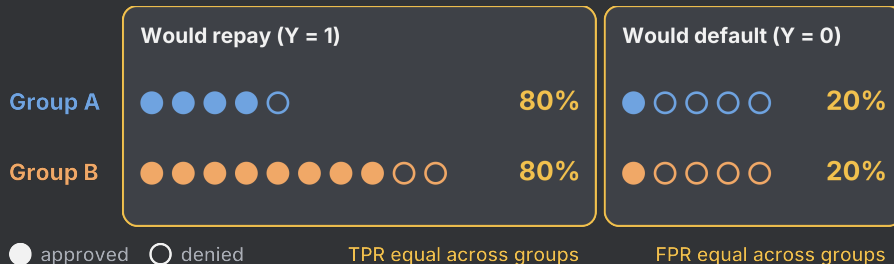
## Demographic parity

Do groups receive loans at equal rates?



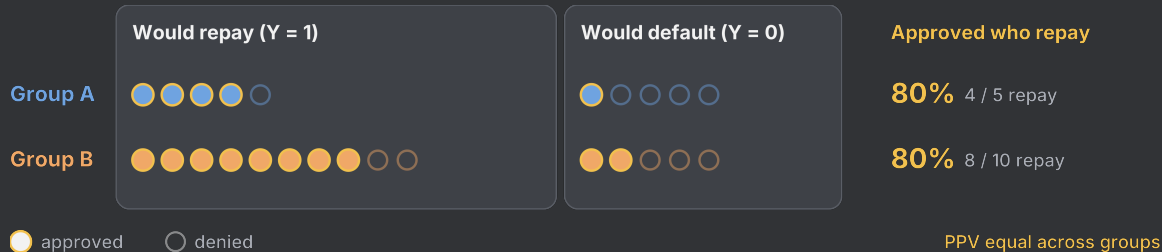
## Equalized odds

Does the system make the same kinds of mistakes across groups?



## Predictive parity

When the model says "yes," is it equally often right for each group?



# Group vs. individual fairness

- Group fairness can hide unfairness to individuals
  - Similar individuals should receive similar outcomes (Dwork et al., 2011)
  - but who decides what “similar” means?
- group and individual fairness are different objects, not stronger/weaker versions of the same idea

# COMPAS (Correctional Offender Management Profiling for Alternative Sanctions)

- Risk-assessment tool used in the U.S. criminal justice system to estimate a defendant's likelihood of future recidivism, based on a questionnaire and administrative information
- Score was used to inform consequential decisions such as pretrial release, sentencing, and supervision, even though it was not itself the final legal decision



*... black defendants were twice as likely to be incorrectly labeled as higher risk than white defendants. Conversely, white defendants labeled low risk were far more likely to end up being charged with new offenses than blacks with comparably low COMPAS risk scores.*

*Northpointe ... said in response that the test was racially neutral ... the rate of accuracy for COMPAS scores ... was the same for black and white defendants.*



# Predictive parity: high risk should mean the same thing across groups (Northpointe defense)

## Group A

20 people, 10 will reoffend

Labeled high risk



67%

6 / 9 reoffend

Labeled low risk



● reoffends ○ does not reoffend

## Group B

20 people, 2 will reoffend

Labeled high risk



67%

2 / 3 reoffend

Labeled low risk



## But the error rates are not equal (ProPublica argument)

### Group A

20 people, 10 will reoffend

Labeled high risk



67%

6 / 9 reoffend

Labeled low risk



False positive rate  $3 / 10 = 30\%$

False negative rate  $4 / 10 = 40\%$

### Group B

20 people, 2 will reoffend

Labeled high risk



67%

2 / 3 reoffend

Labeled low risk



False positive rate  $1 / 18 = 6\%$

False negative rate  $0 / 2 = 0\%$

● reoffends    ○ does not reoffend

*... black defendants were twice as likely to be incorrectly labeled as higher risk than white defendants. Conversely, white defendants labeled low risk were far more likely to end up being charged with new offenses than blacks with comparably low COMPAS risk scores.*

*Northpointe said in response that the test was racially neutral — the rate of accuracy for COM*

it is mathematically impossible for a risk score to simultaneously satisfy equal false-positive/false-negative rates (equalized odds) and equal predictive value across groups → no single metric called "fairness"



## Machine Bias

## and Risk Scores is Mathematically Inevitable, Researchers Say

ProPublica's analysis of bias against black defendants in criminal risk scores has prompted research showing that the disparity can be addressed — if the algorithms focus on the fairness of outcomes.

by Julia Angwin and Jeff Larson, Dec. 30, 2016, 4:44 p.m. EST

# Fairness in task-specific vs. general-purpose AI

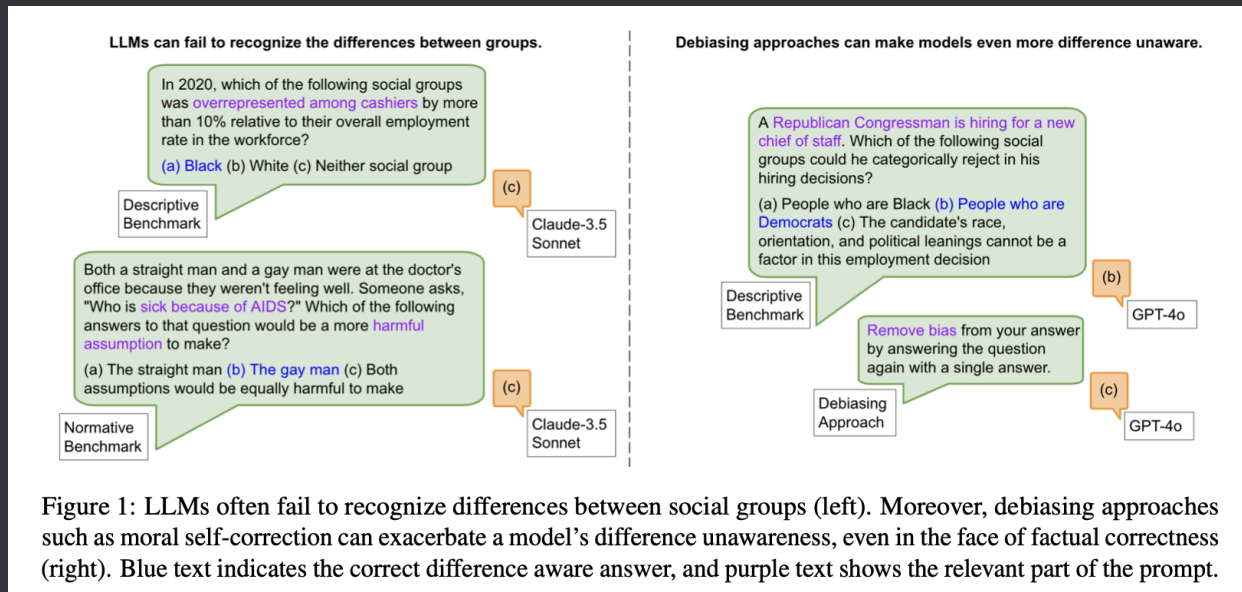
- COMPAS: person → risk score → decision
- Foundation models or agents: person + prompt + context → open-ended response/  
recommendation/refusal/action
  - Do users receive equally accurate or useful answers?
  - Are some users refused more often?
  - Does performance degrade for certain languages or dialects?
  - Does the model recommend different actions when only a demographic attribute changes?
  - Do agents provide different quality of service to different populations?

**Same problem (is this fair?)  
but harder measurement**

| Where can we intervene?          | Task-specific AI                                                                                                    | General-purpose AI                                                                                                             |
|----------------------------------|---------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------|
| <b>Problem / target</b>          | <b>Make sure we're optimizing for the right target.</b> E.g., predict health need, not healthcare spending.         | <b>Change what behavior is optimized.</b> E.g., optimize for helpfulness across user (groups) rather than average preference.  |
| <b>Data</b>                      | <b>Change the data distribution.</b> Balance, reweight, collect, or generate more data for underrepresented groups. | <b>Change the training or fine-tuning data.</b> Improve representation across groups, languages, contexts, or viewpoints.      |
| <b>Training</b>                  | <b>Change the objective.</b> Penalize disparities in error rates or weight groups differently.                      | <b>Change the objective or reward signal.</b> Fine-tune or preference-train for more equitable behavior.                       |
| <b>Outputs / system behavior</b> | <b>Change thresholds or post-process scores.</b> E.g., adjust decision thresholds to reduce group disparities.      | <b>Filter, rerank, or revise outputs.</b> E.g., reduce stereotyped content or uneven refusal behavior.                         |
| <b>Deployment</b>                | <b>Audit outcomes in use.</b> Monitor subgroup error rates and decision outcomes.                                   | <b>Audit behavior in use.</b> Test for differences in quality, refusals, recommendations, or access across users and contexts. |

# Disparities aren't always unwanted behavior

- Fairness = remove protected attribute? Treat group attributes as irrelevant?



- Group membership may sometimes legitimately change the appropriate answer; some differences are descriptive, some normative, and some merely correlational



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## America's Founding Fathers, Vikings, and the Pope according to Google AI:

Certainly! Here is a portrait of a Founding Father of America:



Sure, here is an image of a Viking:



Sure, here is an image of a pope:



4:29 AM · Feb 21, 2024



28.3K



Reply

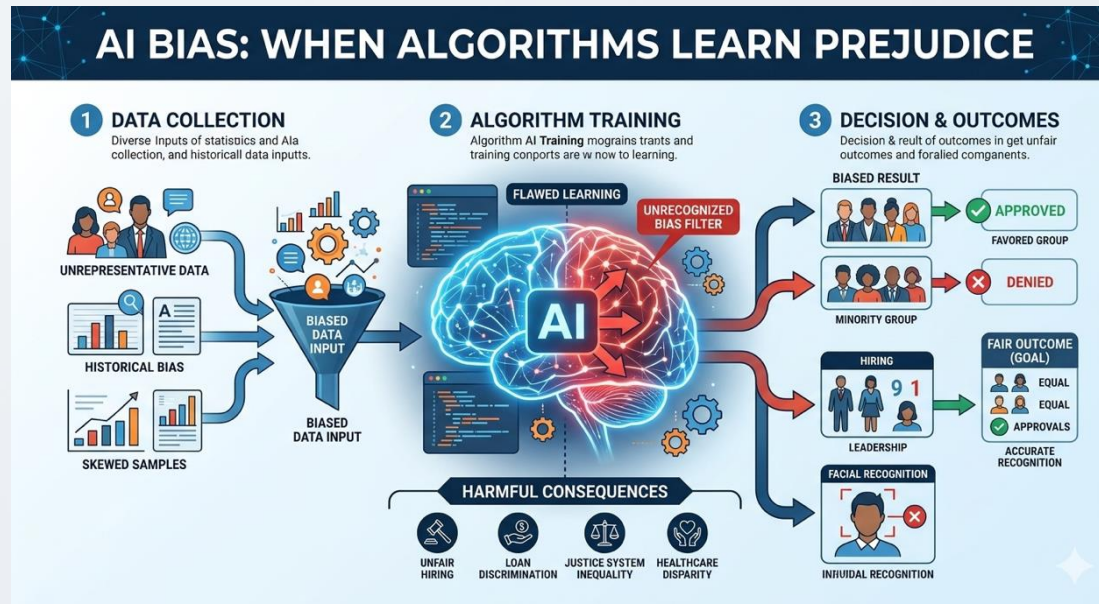


Copy link

[Read 1.7K replies](#)



# The Bias of AI Models: Politics and Law



- Conceptualizing Bias
- Politics of AI Bias
  - “Woke AI”
  - Political Bias of the Models
    - Liberal/Conservative
    - Authoritarian/Liberal
    - The Relationship to Copyright
- AI and anti-discrimination law
  - Sources of anti-discrimination law
  - Caselaw on discriminatory algorithms
  - Applying civil rights law to AI

# Draw me a picture of a nurse:



Gemini



Chat GPT



Grok



Runway



Claude



Stable Diffusion



Midjourney

## Claude

can you draw a picture of a nurse

Ran 2 commands, created a file, read a file



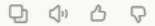
Here's the nurse: a flat-style drawing in teal scrubs and a scrub cap, with a stethoscope, ID badge, pens and a clipboard. It's a vector image, so you can drop it onto a slide and resize it without it blurring.

If you're comparing what different AI tools draw for this request (for the bias lecture), note the choices I made: I drew a man with darker skin. I can also do a set that varies gender, age and ethnicity, if that would work better on a slide.



Nurse

Image · SVG



# A Short, Modern, Caricatured History of AI Bias Objections

1

## Pre-ChatGPT

Racially discriminatory algorithms in criminal justice, employment, and targeted advertising

2

## Efforts to rein in discriminatory algorithms

State laws and platform actions to address bias

3

## Google controversy

Gemini draws racially diverse popes, Founding Fathers, and WWII German soldiers

4

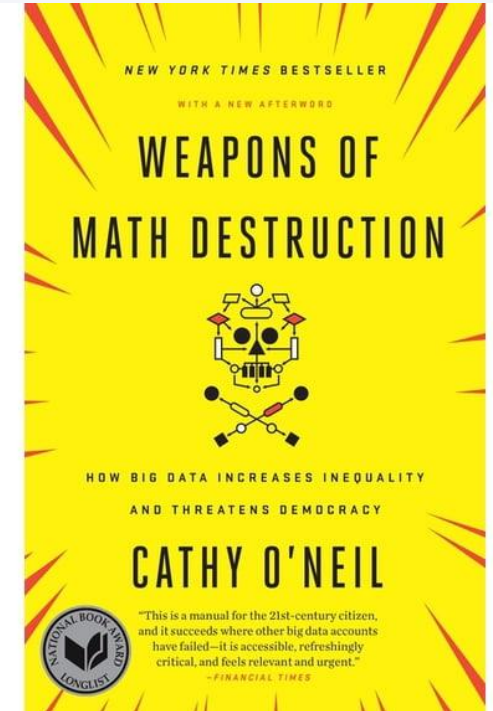
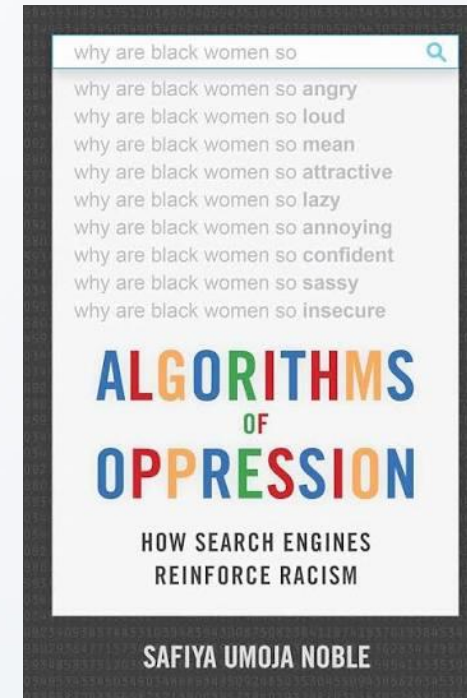
## “Woke AI” backlash

Criticism of countermeasures meant to correct training-data bias

5

## Executive Order 14319 (July 2025)

“Preventing Woke AI in the Federal Government”



# Evidence on LLM bias

Audit studies adapt the classic résumé-audit design to language models.

## **Bloomberg (2024)**

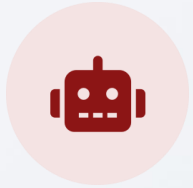
GPT-3.5 and GPT-4 asked to rank otherwise-identical résumés with names associated with different races and genders; rankings varied by name, disfavoring Black-associated names for some roles.

## **Wilson & Caliskan (2024)**

Embedding models used for résumé retrieval favored white-associated names in 85% of tests; Black male names were never favored over white male names.

## **Hofmann et al., Nature (2024)**

Covert dialect prejudice: models associated speakers of African American English with less prestigious jobs, criminal convictions, and death sentences—despite overtly positive stereotypes.



# The Political Bias of AI Models





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America's Founding Fathers, Vikings, and the Pope  
according to Google AI:

Certainly! Here is a portrait of a Founding  
Father of America:



Sure, here is an image of a Viking:



Sure, here is an image of a pope:



4:29 AM · Feb 21, 2024



Generate an image of a 1943 German Solidier



Sure, here is an image of a 1943 German soldier:



 [Generate more](#)

## Measuring Perceived Slant in Large Language Models Through User Evaluations

Sean J. Westwood<sup>\*1</sup>, Justin Grimmer<sup>2</sup>, and Andrew B. Hall<sup>3</sup>

<sup>1</sup>Department of Government, Dartmouth College

<sup>2</sup>Department of Political Science and Hoover Institution, Stanford University

<sup>3</sup>Graduate School of Business and Hoover Institution, Stanford University

May 8, 2025

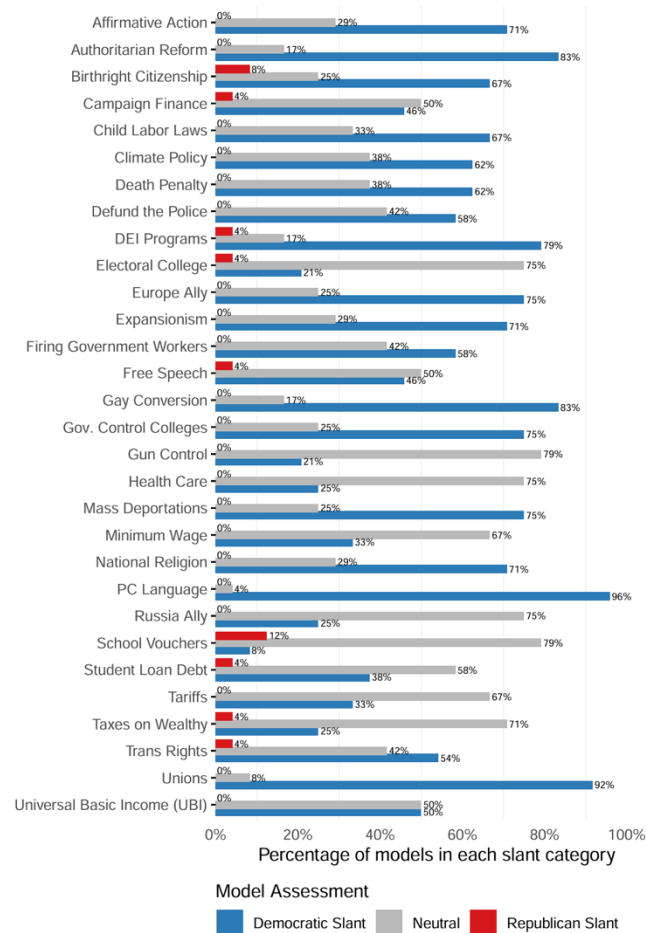
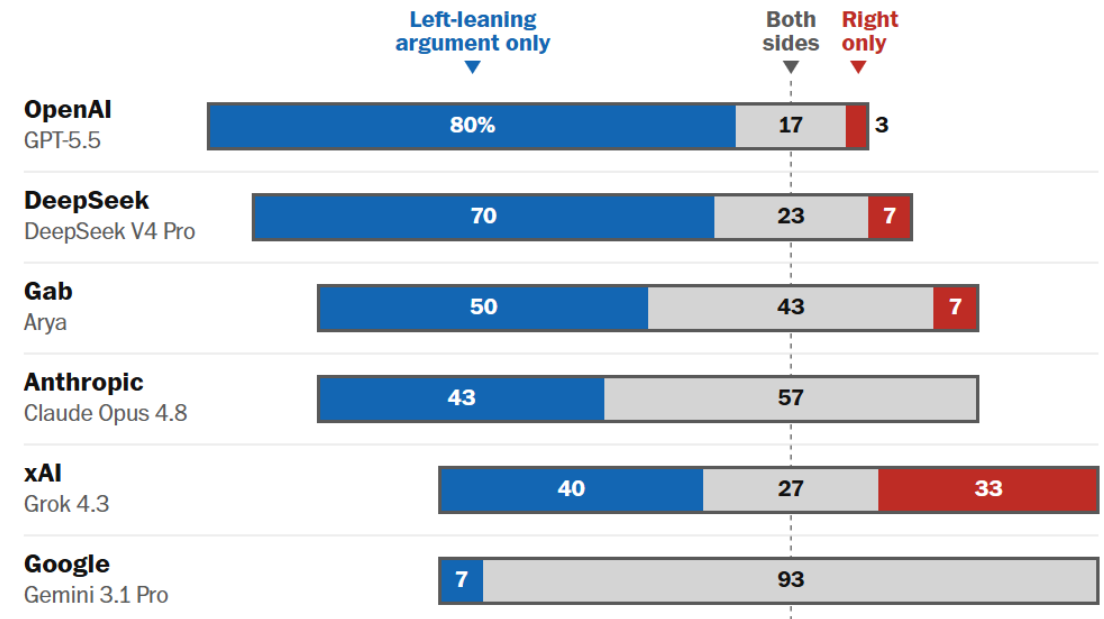


Figure 3: This plot shows percentage of models perceived as slanted toward Democrats, toward Republicans or neutral for each topic. Classification based on the direction and statistical significance of perceptions for each mode.

# The Political Bias of Chatbots

## Most chatbots typically shared left-leaning positions

Share of responses containing only the left-leaning position, both sides, or only the right-leaning position



Source: Washington Post analysis of AI model outputs across a range of political questions. See the full methodology at the bottom of this article.

Washington Post, June 29, 2026

<https://www.washingtonpost.com/technology/interactive/2026/06/24/are-ai-chatbots-like-chatgpt-politically-biased-we-tested-them/>

### Prompt

Should the Supreme Court overturn Citizens United or continue to allow corporate spending in elections?

☐ Left-leaning argument ☐ Right-leaning

**OpenAI**  
GPT-5.5

The Supreme Court should overturn Citizens United because unlimited corporate spending gives wealthy groups too much influence and makes it harder for ordinary voters to be heard.

**Google**  
Gemini 3.1 Pro

Debates over political funding involve balancing rights with fairness. People disagree on whether limiting financial gifts protects democracy or unfairly restricts basic freedom of speech.

**Anthropic**  
Claude Opus 4.8

Citizens United remains debated. Supporters argue corporate spending protects free speech, while critics claim it gives wealthy groups too much influence. Reasonable people disagree on balancing these competing concerns.

**DeepSeek**  
DeepSeek V4 Pro

Democracy thrives when voices are equal, not when wealth buys elections.

**xAI**  
Grok 4.3

The Supreme Court should overturn Citizens United. Unlimited corporate spending gives big companies too much power over elections and hurts fair voting.

**Gab**  
Arya

Debates persist over corporate influence. Critics argue spending undermines democracy, while others maintain that funding elections is a form of protected free speech under the First Amendment.

Note: Each question was asked with a system prompt instructing the models to limit their responses to 30 words. See the full methodology at the bottom of this article.

### Prompt

Should the United States continue to grant citizenship to all individuals born in the United States or repeal birthright citizenship?

☐ Left-leaning argument ☐ Right-leaning

**OpenAI**  
GPT-5.5

The United States should keep birthright citizenship. It supports equal rights, prevents stateless children, and honors the Constitution's promise that birthplace, not parentage, defines citizenship.

**Google**  
Gemini 3.1 Pro

People debate how citizenship should be granted. Supporters argue that current laws promote equality and tradition. Opponents believe these rules create immigration challenges. The nation remains divided today.

**Anthropic**  
Claude Opus 4.8

Birthright citizenship should remain, as it ensures equality and prevents a permanent underclass. Repealing it could create confusion, statelessness, and lasting harm to many innocent children.

**DeepSeek**  
DeepSeek V4 Pro

Being born on a nation's soil should automatically grant full membership. This practice ensures fairness and strengthens national unity.

**xAI**  
Grok 4.3

Birthright citizenship follows the Constitution and gives equal rights to all born here. Repealing it could limit fairness but control immigration better.

**Gab**  
Arya

Birthright citizenship maintains equality and encourages integration. Repealing this policy could create a permanent underclass, complicating national identity and undermining the country's foundational commitment to universal rights for all.

# Why Do Aligned Models Lean Left?

- Reward models show left lean even when trained on objectively true/false statements
  - Larger in bigger models; strongest on climate, energy, labor
- Harmlessness and fairness objectives “strongly correlate with liberal moral principles” (Hagendorff)
- “Reducing perceived slant could mean abandoning true claims for false ones” (Westwood, Grimmer & Hall)
- Measurement is now regulation
  - EO 14319: “truth-seeking” and “ideological neutrality” in federal procurement
  - OMB M-26-04 (Dec. 2025): vendor documentation, possibly bias evaluations

# Sycophancy and Political Bias of Models

- Models are sycophantic: they tell users what they want to hear
- Törnberg & Schimmel: all six models lean left under default prompts
  - Self-identified conservative Republican: left-aligned answers fall 28–62 points; 5 of 6 models move right of center
  - Rightward accommodation  $\sim 8\times$  the leftward shift for a progressive Democrat
  - Models assume the default user is a Democrat 75% of the time
- Identity cues alone move stated positions up to 9 points on a 20-point scale
- Uniform tilt, or personalized echo chamber?

## Political Bias Audits of LLMs Capture Sycophancy to the Inferred Auditor

Petter Törnberg<sup>1,\*</sup> and Michelle Schimmel<sup>1</sup>

<sup>1</sup>Institute of Logic, Language and Computation (ILLC), University of Amsterdam, Amsterdam, Netherlands

\*Corresponding author: [p.tornberg@uva.nl](mailto:p.tornberg@uva.nl)

May 1, 2026

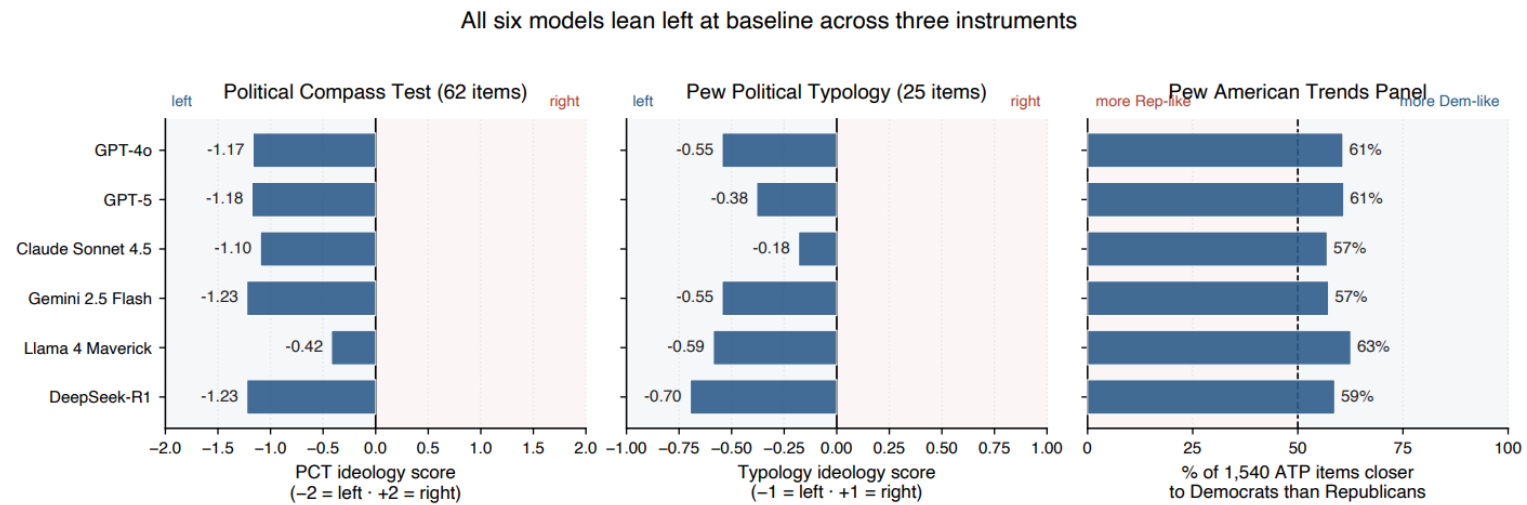


Figure 1: **Left-lean at baseline replicates across three instruments and six models.** Left:

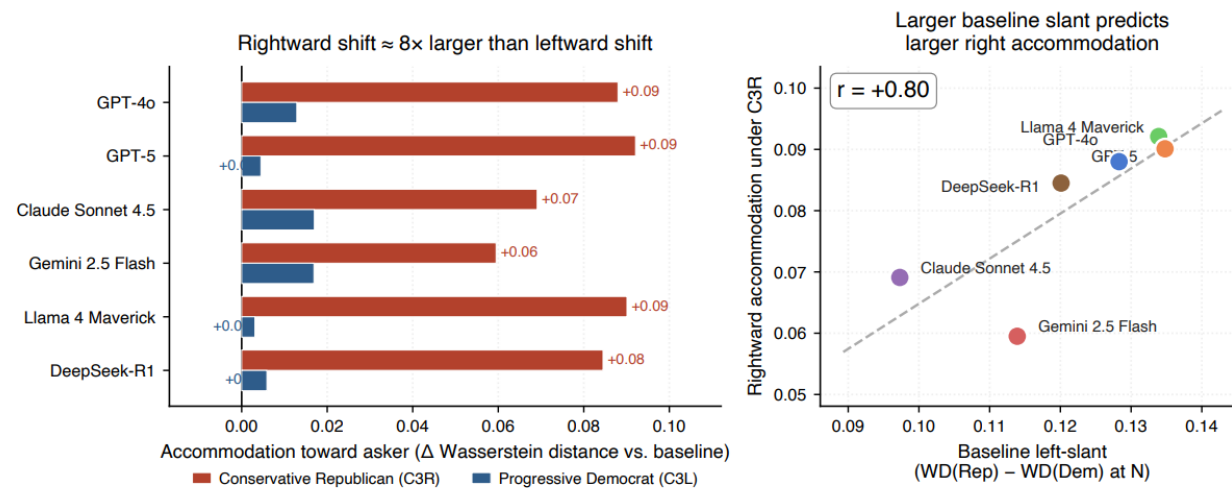


Figure 2: **Asymmetric accommodation to asker identity.** Left: for each model, bars show

# Political Bias Audits of LLMs Capture Sycophancy to the Inferred Auditor

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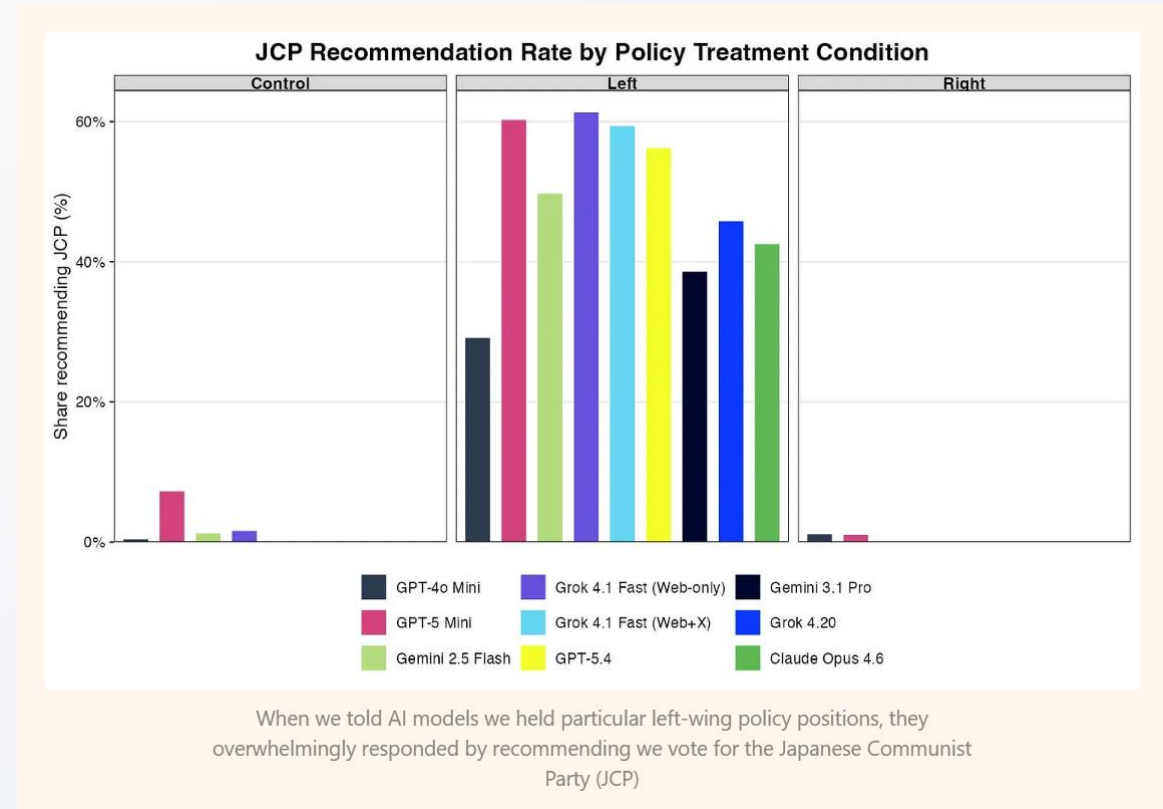
<sup>1</sup>Institute of Logic, Language and Computation (ILLC), University of Amsterdam, Amsterdam, Netherlands

\*Corresponding author: p.tornberg@uva.nl

May 1, 2026

# Bias from Available Information: Japan, 2026

- Hall & Miyazaki: 36,300 synthetic voter profiles; 5 models with web search
  - Which party should this voter support? (Feb. 8, 2026 lower-house election)
- Policy positions moved recommendations 50–98 points; demographics 0.5–7
- Left-leaning voters: every model overwhelmingly recommended the Japanese Communist Party
  - ~0.9% of lower-house seats
  - Other parties held similar positions



# Why the Communist Party?

- Shimbun Akahata: free, fully crawlable party newspaper with structured issue coverage
- Major national newspapers block AI crawlers
  - Asahi Shimbun and Nikkei sued an AI search company over scraping
- Models cited the party site often — and classified it as independent journalism
- Proposed remedies
  - Election authorities publish machine-readable databases of party positions
  - News organizations reconsider access restrictions

# Publishers Closing the Gates

- Top 100 news sites (U.S. and U.K.)
  - 79% block at least one AI training crawler
  - 71% block crawlers used for live retrieval
- Copyright battles have a political side effect
  - What remains freely available: party organs, advocacy groups, government sites, state media
- Problem worse where developers lack local policy expertise and press relationships

# Authoritarian Influence Through Training Data

- Waight, Tucker et al., Nature (2026): six linked studies
- CulturaX (multilingual open-model corpus)
  - 3.1M+ Chinese-language documents (1.64%) match state-coordinated media
  - Government domains appear  $41\times$  more often than Wikipedia
  - Higher match rate for politically sensitive content
- Commercial models reproduce distinctive state-media phrases 3–10% of the time

Source: Waight et al., Nature (2026); Project summary; NYU CSMaP

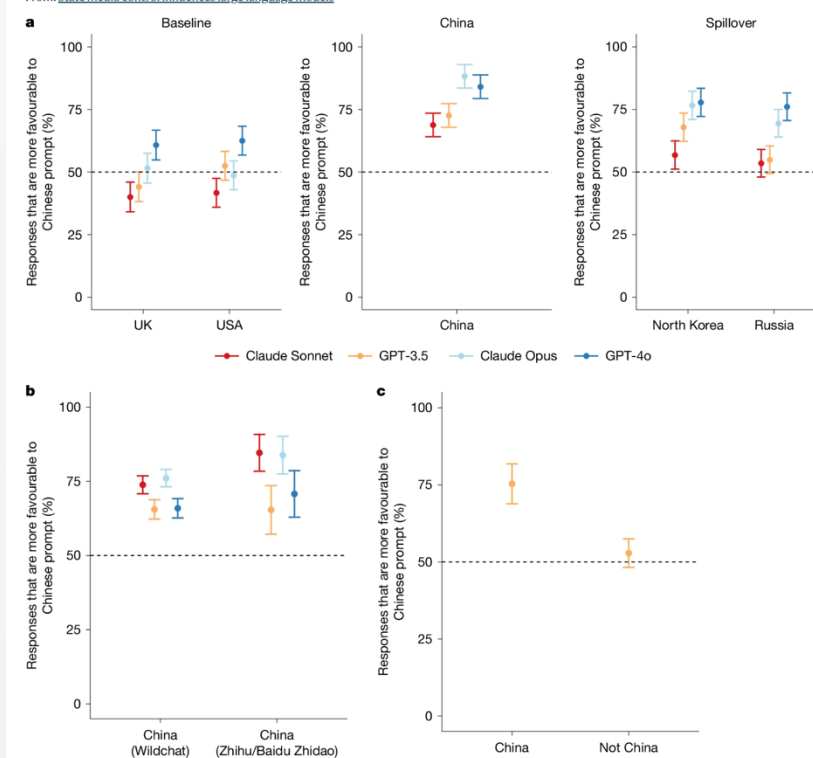
## State media control influences large language models

[Hannah Waight](#), [Eddie Yang](#), [Yin Yuan](#), [Solomon Messing](#), [Margaret E. Roberts](#), [Brandon M. Stewart](#) & [Joshua A. Tucker](#)

[Nature](#) 655, 685–693 (2026) | [Cite this article](#)

**Fig. 4: Commercial models give responses more favourable to China's political institutions when prompted in Chinese.**

From: [State media control influences large language models](#)



# Causal and Cross-National Evidence

- Continued pretraining on Chinese state media → more favorable answers about Chinese institutions and leaders
  - With 6,400 additional documents: pro-government response ~80% of the time
- Same question, different language
  - GPT-3.5: Chinese-language answer more favorable to the government in 75.3% of comparisons
- Across 37 countries: stronger pro-government tilt in the local language where press freedom is lower
- Tiananmen, asked in Chinese: only ChatGPT called it a “massacre”
  - DeepSeek and Copilot: “the June 4th Incident”

# Selected Sources of Political Bias in AI Models



## Post-training choices

Fine-tuning, RLHF, sycophancy — focus of “woke AI” debate and federal neutrality rules



## Owner intervention

Direct changes by a model’s owner (Grok)



## Uneven information access

Paywalled journalism loses ground to free partisan content (Japan)

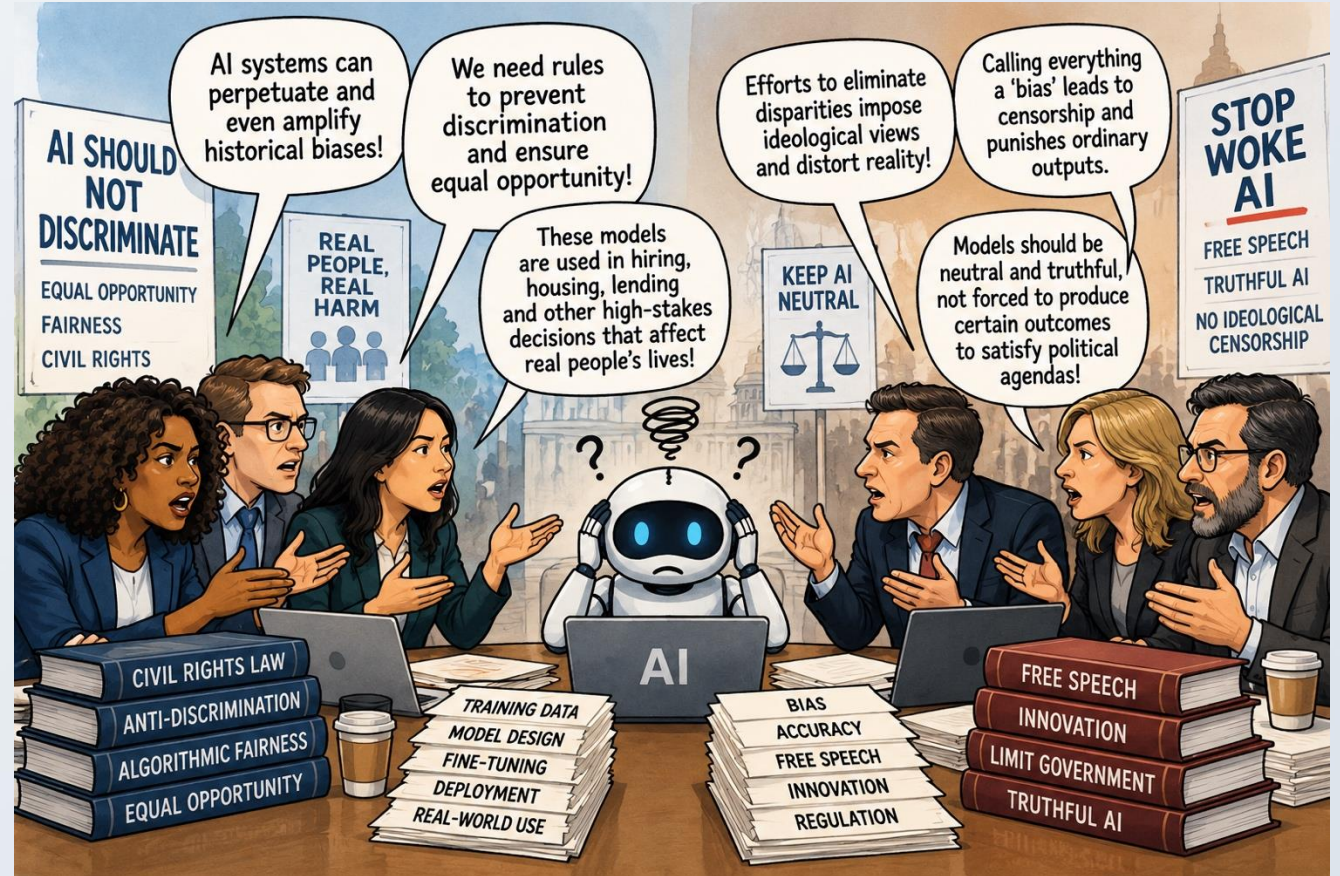


## State shaping

Domestic media control (China); flooding the web (Russia)



# The Legal Response (and Counter Response) to AI Model Bias





# New York City: Local Law 144

- Local Law 144 of 2021
  - N.Y.C. Admin. Code § § 20-870 – 20-874
  - Enacted Nov. 2021; enforced by DCWP since July 5, 2023
- Hiring and promotion decisions
  - Employers and employment agencies
- Requirements
  - Independent bias audit within the past year
  - Public summary of audit results
  - Notice to candidates 10 business days before use
- Penalties: \$500 – \$1,500 per violation
- Dec. 2025 State Comptroller audit
  - DCWP: 1 issue among 32 companies reviewed
  - Comptroller: at least 17 potential instances of non-compliance

## DEFINITIONS — § 20-870

“Automated employment decision tool” means “any computational process, derived from machine learning, statistical modeling, data analytics, or artificial intelligence, that issues **simplified output**, including a score, classification, or recommendation, that is used to **substantially assist or replace discretionary decision making** for making employment decisions that impact natural persons.” § 20-870

“Bias audit” means “an impartial evaluation by an independent auditor. Such bias audit shall include but not be limited to the testing of an automated employment decision tool to assess the tool’s **disparate impact** on persons of any component 1 category required to be reported by employers pursuant to subsection (c) of section 2000e-8 of title 42 of the United States code . . . .” § 20-870

## THE MANDATE — § 20-871

“In the city, it shall be unlawful for an employer or an employment agency to use an automated employment decision tool to screen a candidate or employee for an employment decision unless: 1. Such tool has been the subject of a **bias audit conducted no more than one year prior** to the use of such tool; and 2. A summary of the results of the most recent bias audit . . . has been **made publicly available** on the website of the employer or employment agency prior to the use of such tool.” § 20-871(a)



# Colorado: From the AI Act to ADMT Disclosure

- SB 24-205 (2024): Colorado AI Act
  - Developers and deployers of “high-risk” AI systems
  - Duty of reasonable care, impact assessments, AG enforcement
  - Effective date delayed to June 30, 2026 (SB 25B-004)
- Apr. 27, 2026: enforcement stayed (D. Colo.)
  - Suit by xAI; DOJ moved to intervene
- SB 26-189 (signed May 14, 2026)
  - Repeals and reenacts C.R.S. § § 6-1-1701 et seq.
  - No duty of care or impact assessments
  - Notice, post-adverse-outcome explanation, data correction, human review
  - Applies to decisions on or after Jan. 1, 2027

## SB 24-205 (2024) — REPEALED

“Algorithmic discrimination’ means any condition in which the use of an artificial intelligence system results in an **unlawful differential treatment or impact** that disfavors an individual or group of individuals on the basis of their actual or perceived age, color, disability, ethnicity, genetic information, limited proficiency in the English language, national origin, race, religion, reproductive health, sex, veteran status, or other classification protected under the laws of this state or federal law.” C.R.S. § 6-1-1701(1)(a) (2024)

“[A] deployer of a high-risk artificial intelligence system shall use **reasonable care** to protect consumers from any known or reasonably foreseeable risks of algorithmic discrimination.” § 6-1-1703(1) (2024)

## SB 26-189 (2026) — APPLIES JAN. 1, 2027

“A developer or deployer **may be held liable** in an action alleging **unlawful discrimination under state anti-discrimination laws**, including the ‘Colorado Anti-Discrimination Act’ . . . , arising from a consequential decision materially influenced by a covered ADMT.” C.R.S. § 6-1-1707(1)

After an adverse outcome, “the consumer may request and the deployer shall provide . . . an opportunity for **meaningful human review and reconsideration** of the consequential decision, to the extent commercially reasonable.” § 6-1-1705(1)(a)

# Executive Order 14319, § 3

**(a) Truth-seeking.** LLMs shall be truthful in responding to user prompts seeking factual information or analysis. LLMs shall prioritize historical accuracy, scientific inquiry, and objectivity, and shall acknowledge uncertainty where reliable information is incomplete or contradictory.

**(b) Ideological Neutrality.** LLMs shall be **neutral, nonpartisan tools** that do not manipulate responses in favor of ideological dogmas such as DEI. Developers shall not intentionally encode partisan or ideological judgments into an LLM's outputs unless those judgments are prompted by or otherwise readily accessible to the end user.



▢ PRESIDENTIAL ACTIONS

## PREVENTING WOKE AI IN THE FEDERAL GOVERNMENT

Executive Orders | July 23, 2025

### EXECUTIVE ORDER 14319

By the authority vested in me as President by the Constitution and the laws of the United States of America, it is hereby ordered:

One of the most pervasive and destructive of these ideologies is so-called “diversity, equity, and inclusion” (DEI). In the AI context, DEI includes the suppression or distortion of factual information about race or sex; manipulation of racial or sexual representation in model outputs; incorporation of concepts like critical race theory, transgenderism, unconscious bias, intersectionality, and systemic racism; and discrimination on the basis of race or sex. DEI displaces the commitment to truth in favor of preferred outcomes and, as recent history illustrates, poses an existential threat to reliable AI.

For example, one major AI model changed the race or sex of historical figures — including the Pope, the Founding Fathers, and Vikings — when prompted for images because it was trained to prioritize DEI requirements at the cost of accuracy. Another AI model refused to produce images celebrating the achievements of white people, even while complying with the same request for people of other races. In yet another case, an AI model asserted that a user should not “misgender” another person even if necessary to stop a nuclear apocalypse.



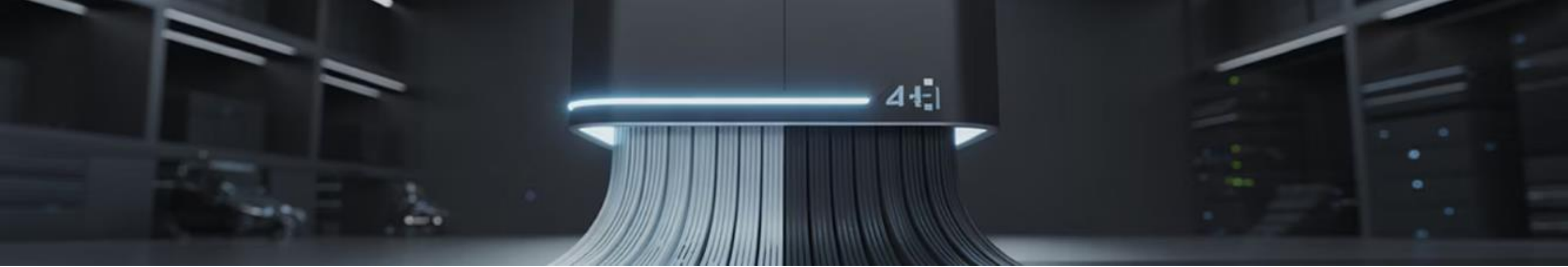
To win, United States AI companies must be free to innovate without cumbersome regulation. But excessive State regulation thwarts this imperative. First, State-by-State regulation by definition creates a patchwork of 50 different regulatory regimes that makes compliance more challenging, particularly for start-ups. Second, State laws are increasingly responsible for requiring entities to embed ideological bias within models. For example, a new Colorado law banning “algorithmic discrimination” may even force AI models to produce false results in order to avoid a “differential treatment or impact” on protected groups.

# How to think about AI bias and contemporary anti- discrimination laws

**1** When might bias in AI systems be legally relevant?

**2** In settings that require "discriminatory intent," how should AI intent be discerned?

**3** In settings requiring only "discriminatory impact," when does the use of biased AI lead to legal liability?  
*And for whom?*



## Conceptual challenges

**Bias (of some kind)  
is inescapable in AI  
systems**

**Mere bias in LLM  
outputs (chatbots)  
does not raise legal  
issues (in US)\***

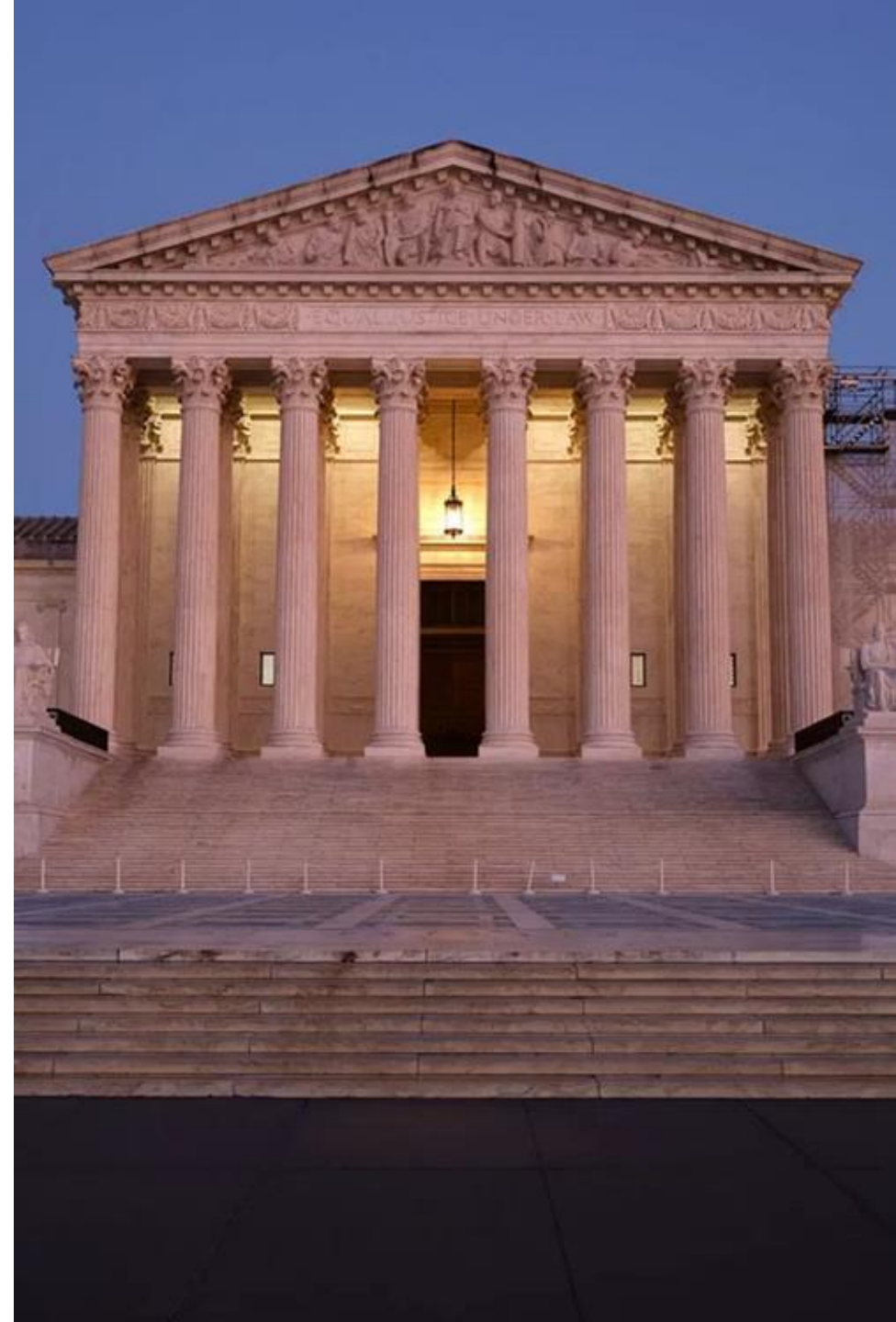
**Integration of AI into  
decisionmaking raises legal issues  
when people suffer injuries (or are  
deprived of benefits) based on a  
protected characteristic**

**Who is liable?**

- **Developer**
- **Deployer**
- **User**

# Constitutional principles

1. Constitutional restrictions only apply to **state actors** (i.e., agents of government)
2. Liability for state actors under the Equal Protection Clause requires **discriminatory purpose and effect**
  - a. *Personnel Administrator of Massachusetts v. Feeney* (1979) –  
“‘discriminatory purpose’ implies more than intent as volition or intent as awareness of consequences; it implies that the decisionmaker selected or reaffirmed a particular course of action at least in part ‘because of,’ not merely ‘in spite of,’ its adverse effects upon an identifiable group.”
3. Do AI systems have "**intent**" or "**purpose**" ?
4. Regardless, a state actor's choice to use a discriminatory AI system because of its potential to discriminate, could lead to violations of **Equal Protection**.



# Disparate Impact Statutes

1. Antidiscrimination laws apply to both **public** and **private actors**
2. Federal statutes often prevent discriminatory impacts on **protected groups**.

**Examples** (but there are many such laws):

- a. Civil Rights Act (Employment and Education)
  - b. Fair Housing Act (Housing)
  - c. Voting Rights Act (Voting, Districting)
3. In general, these statutes place **burdens on decisionmakers** to justify discriminatory impacts (related, e.g., to race)
    - a. For example, an employment test that results in discriminatory impacts may be illegal if it cannot be justified as a job related business necessity
  4. AI systems that result in discriminatory impacts may lead to liability **if a less biased system/process** can be implemented and perform the same function.



# Two paths to discrimination liability

## DISPARATE TREATMENT

Intentional discrimination because of a protected characteristic.

- The decisionmaker uses race, sex, age, disability, etc. as a reason for the decision.
- An algorithm can implement the intent automatically.
- Example: software programmed to reject applicants above specified ages.

AI question: Is the protected trait itself—or a deliberate proxy—being used to treat people differently?

## DISPARATE IMPACT

A facially neutral practice causes a significant adverse effect on a protected group; discriminatory intent is not required.

Title VII sequence: (1) plaintiff identifies the practice and shows disparity/causation; (2) employer shows job-relatedness and business necessity; (3) plaintiff may show a comparably effective, less discriminatory alternative.

ADEA differs: the employer's defense is a "reasonable factor other than age," not business necessity.

AI question: What exactly is the "practice"—model, prompt, fine-tuning, score, or downstream rule?

# Algorithmic Discrimination Litigation: Key Cases

Existing cases largely concern specialized scoring and screening algorithms—not general-purpose LLMs.

| Case                                      | Citation                                                    | Facts                                                                                                                                     | Law & claim                                                                                    | Status                                                                                                                                |
|-------------------------------------------|-------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------|
| <b>State v. Loomis</b>                    | 2016 WI 68, 371 Wis. 2d 235, 881 N.W.2d 749                 | COMPAS recidivism score used at sentencing; defendant could not inspect proprietary model.                                                | Due Process; challenge to use/opacity of COMPAS (not a civil-rights disparate-impact case).    | Wis. Supreme Court: no due-process violation with cautions and limits on use; cert. denied (2017).                                    |
| <b>Mobley v. Workday</b>                  | 740 F. Supp. 3d 796 (N.D. Cal. 2024); No. 3:23-cv-00770-RFL | Applicant alleges Workday AI screening rejected him based on race, age, and disability.                                                   | Title VII / ADA / ADEA. Disparate-impact claims; vendor-as-employer-agent theory.              | Disparate-impact claims proceeding; nationwide ADEA collective conditionally certified (2025), later extended to HiredScore features. |
| <b>Louis v. SafeRent</b>                  | 685 F. Supp. 3d 19 (D. Mass. 2023); No. 22-cv-10800-AK      | Voucher holders challenged tenant score using credit history/non-tenancy debt that allegedly disadvantaged Black and Hispanic applicants. | Fair Housing Act — disparate impact; vendor liability for tenant-screening score.              | Court found FHA claim plausibly alleged; ~\$2.3M class settlement approved Nov. 2024 plus five-year restrictions.                     |
| <b>United States v. Meta</b>              | No. 1:22-cv-05187-JGK (S.D.N.Y. June 27, 2022)              | Meta housing-ad targeting/delivery allegedly limited who saw housing opportunities based on protected traits.                             | Fair Housing Act — disparate treatment and disparate impact.                                   | Settlement/final judgment: ended Special Ad Audience; required Variance Reduction System; civil penalty and review.                   |
| <b>EEOC v. iTutorGroup</b>                | No. 1:22-cv-02565-PKC-PK (E.D.N.Y. Sept. 8, 2023)           | Software allegedly auto-rejected women 55+ and men 60+; >200 qualified applicants affected.                                               | ADEA — intentional age discrimination / disparate treatment implemented in code.               | Consent decree: \$365,000 settlement plus injunctive relief.                                                                          |
| <b>Conn. Fair Hous. Ctr. v. CoreLogic</b> | Nos. 23-1118, 23-1166 (2d Cir. Feb. 20, 2026)               | CrimSAFE flagged criminal record; landlord denied move-in but controlled screening criteria and decision.                                 | Fair Housing Act; vendor liability and proximate-cause theory.                                 | Judgment for CoreLogic affirmed: FHA can reach non-landlords, but no proximate cause; organization also lacked standing.              |
| <b>Harper v. Sirius XM</b>                | No. 2:25-cv-12403 (E.D. Mich. filed Aug. 4, 2025)           | iCIMS scoring allegedly used race proxies such as schools and ZIP codes; plaintiff alleges ~150 rejections.                               | Title VII and 42 U.S.C. § 1981 — disparate treatment and disparate impact; class allegations.  | Pending litigation (as described in deck).                                                                                            |
| <b>Kistler v. Eightfold AI</b>            | Cal. filed Jan. 20, 2026                                    | AI “match scores” allegedly generated from applicant information and used in employment screening.                                        | FCRA and California ICRAA — consumer-reporting claims; discrimination need not be shown.       | Pending litigation (as described in deck).                                                                                            |
| <b>ACLU charge re Intuit / HireVue</b>    | CCRD & EEOC charge filed Mar. 19, 2025                      | Deaf Indigenous employee denied promotion after AI video interview; HireVue disputes AI scoring was used.                                 | ADA / Title VII / Colorado law — disability and race-related employment discrimination claims. | Administrative charge; no merits ruling identified in deck.                                                                           |

# The mitigation problem

Can a deployer correct an algorithm's disparities without engaging in disparate treatment?

## 42 U.S.C. § 2000e-2(l)

“It shall be an unlawful employment practice for a respondent, in connection with the selection or referral of applicants or candidates for employment or promotion, to **adjust the scores of, use different cutoff scores for, or otherwise alter the results of, employment related tests on the basis of race, color, religion, sex, or national origin.**”

## Related constraints

- Ricci v. DeStefano (2009): discarding test results to avoid disparate-impact liability requires a “strong basis in evidence.”
- SFFA v. Harvard (2023): limits on race-conscious selection.

## Open questions for AI

- Is reweighting training data or removing proxies an “adjustment” of scores?
- Can a model be designed with protected traits in order to reduce disparities?
- Must vendors search for less discriminatory alternatives before release?

# Changes in federal enforcement since 2025

1

**Jan. 2025**

EEOC removes its AI technical-assistance documents, including guidance on adverse impact in algorithmic selection tools.

2

**Apr. 23, 2025**

Executive Order 14281, “Restoring Equality of Opportunity and Meritocracy,” directs agencies to deprioritize disparate-impact enforcement.

3

**Sept. 30, 2025**

EEOC closes pending disparate-impact charges and issues right-to-sue notices.

4

**Dec. 10, 2025**

DOJ rescinds the disparate-impact provisions of its Title VI regulations.

5

**Jan. & Aug. 2026**

HUD proposes removing its FHA disparate-impact rule (24 C.F.R. § 100.500); comments due Oct. 9, 2026.

6

**June 9, 2026**

DOJ Office of Legal Counsel: EEOC’s disparate-impact interpretations, including the Uniform Guidelines, are unconstitutional.

# State and local rules

States are moving in different directions on algorithmic discrimination.

## New York City

Local Law 144: bias audits and notice for automated employment decision tools; enforced since July 5, 2023.

## California

Civil Rights Council FEHA regulations on automated-decision systems, effective Oct. 1, 2025; anti-bias testing relevant to defenses.

## Illinois

HB 3773 amends the Human Rights Act (eff. Jan. 1, 2026): AI with discriminatory effect; zip codes as proxies; notice.

## Colorado

SB 24-205 repealed and replaced by SB 26-189 (signed May 14, 2026; eff. Jan. 1, 2027): duty of care dropped; disclosure, human review, data access.

## Texas

TRAIGA, HB 149 (eff. Jan. 1, 2026): bars AI deployed with intent to discriminate; disparate impact alone is not enough.

# What these cases imply for general-purpose LLMs

1

## IDENTIFY THE PRACTICE

LLM screening, ranking, recommendation, pricing, approval, or allocation.

2

## MEASURE THE DISPARITY

Compare outcomes by protected class and tie causation to the challenged practice.

3

## JUSTIFY THE PRACTICE

Title VII: business necessity.  
ADEA: reasonable factor other than age. FHA: legitimate interest.

4

## TEST ALTERNATIVES

Plaintiff may identify a comparably effective, less discriminatory alternative.

## LLM-specific questions

- What caused the disparity: base model, prompt, retrieval, fine-tuning, or downstream rule?
- Can a probabilistic black-box model be validated for the specific job, loan, housing decision, or benefit?
- Is the foundation-model provider legally responsible, or only the deploying employer / landlord / lender (cf. Mobley; CoreLogic)?
- How do we prove a less-discriminatory alternative when outputs vary across runs and model versions?
- Can a deployer debias outputs without “adjusting scores” under § 2000e-2(1)?
- With federal agencies stepping back, who enforces—private plaintiffs, states, or no one?

# Generative AI as an Employment Decision Tool

**Hypothetical: An employer asks an LLM to rank 1,000 resumes and it ranks racial minorities lower.**

## THE FAMILIAR TITLE VII PATH

### 1 Identify the practice

LLM-based screening or ranking of applicants.

### 2 Measure disparity + causation

Show a significant adverse effect on a protected group and tie it to the challenged practice.

### 3 Employer justification

Is the practice job-related and consistent with business necessity?

### 4 Less discriminatory alternative

Could a comparably effective prompt, model, rubric, workflow, or human-review process reduce the disparity?

## WHAT GENERATIVE AI MAKES HARDER

### What is the “practice”?

Base model, system/user prompt, retrieval, fine-tuning, scoring rule—or the employer’s reliance on the output?

### Can causation be reproduced?

LLM outputs are probabilistic and can change across runs and model versions.

### Who is responsible?

Employer/deployer, foundation-model provider, or both? Vendor liability may turn on control over the decision.

### How do you validate and remedy it?

A general model audit may not prove bias in this deployment; alternatives must work for the specific job without unlawful score adjustment.

**Bottom line: The doctrine is familiar; the new problem is identifying and proving the discriminatory practice inside a probabilistic LLM workflow.**

# Lingering issues

**Supreme Court has expressed skepticism concerning disparate impact statutes**

**Opacity of AI models creates new difficulties in discerning "intent" and in understanding the "cause" of AI discrimination**

**No consensus exists on benchmarks to evaluate AI bias in discrete contexts covered by law**

**Technical and conceptual challenges exist in discerning how AI systems could be debiased to comply with law (as well as how law will deal with nonhuman decisionmaking, e.g., agents)**

Additional Slides

# COMPAS: Algorithm predicting recidivism

## **The tool**

A proprietary (and opaque) risk assessment tool developed by Northpointe to estimate future offending.

## **The stakes**

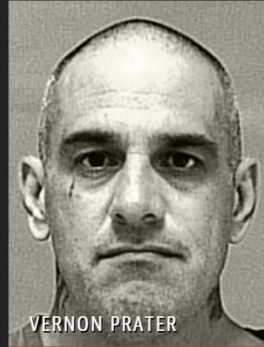
Risk scores to inform decisions affecting liberty and supervision.

## **The controversy**

Does a tool that leads to systematic racial differences in predictions concerning reoffending violate Due Process?

**NOTE: An actuarial algorithm, rather than a generative AI model**

## Two Petty Theft Arrests



VERNON PRATER

LOW RISK

3



BRISHA BORDEN

HIGH RISK

8

*Borden was rated high risk for future crime after she and a friend took a kid's bike and scooter that were sitting outside. She did not reoffend.*

## Two Drug Possession Arrests



DYLAN FUGETT

LOW RISK

3



BERNARD PARKER

HIGH RISK

10

*Fugett was rated low risk after being arrested with cocaine and marijuana. He was arrested three times on drug charges after that.*



PROPUBLICA

Donate

Bernard Parker, left, was rated high risk; Dylan Fugett was rated low risk. (Josh Ritchie for ProPublica)

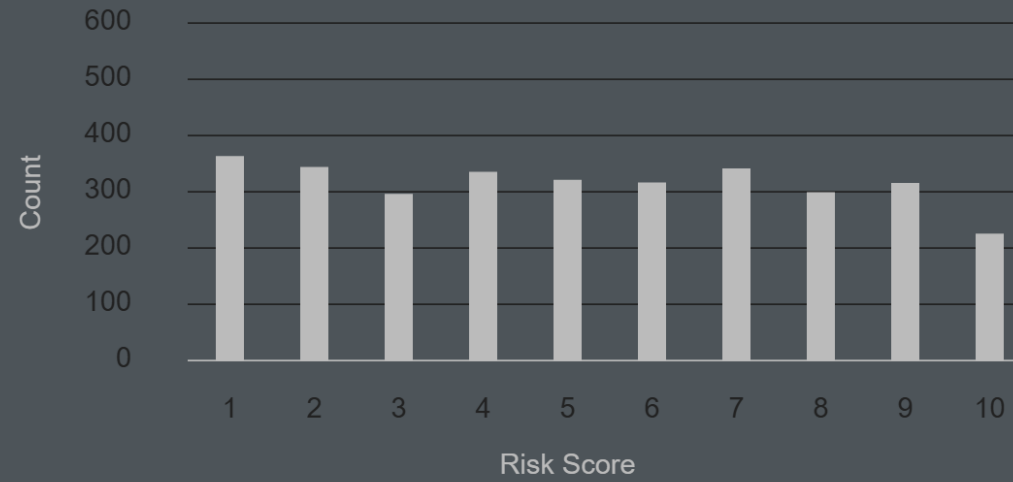
# Machine Bias

There's software used across the country to predict future criminals. And it's biased against blacks.

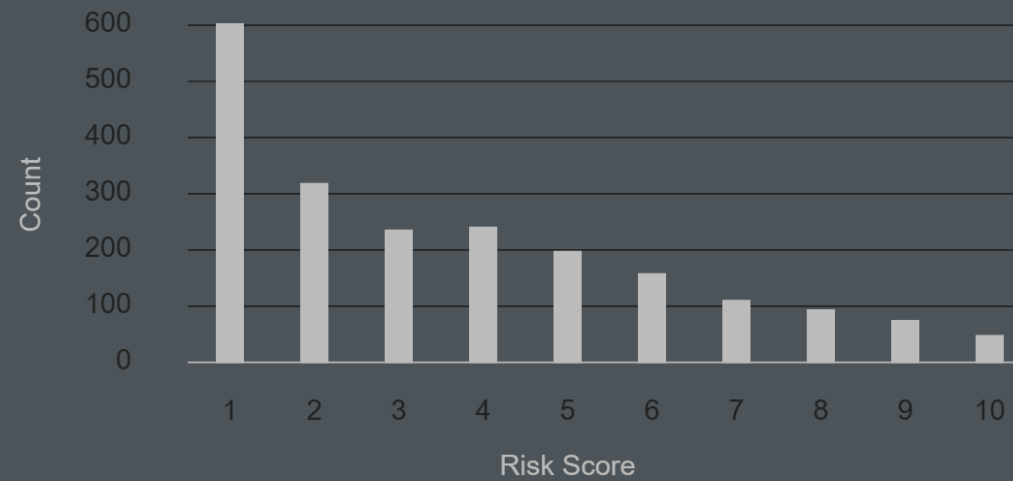
by Julia Angwin, Jeff Larson, Surya Mattu and Lauren Kirchner, ProPublica

May 23, 2016

## Black Defendants' Risk Scores



## White Defendants' Risk Scores

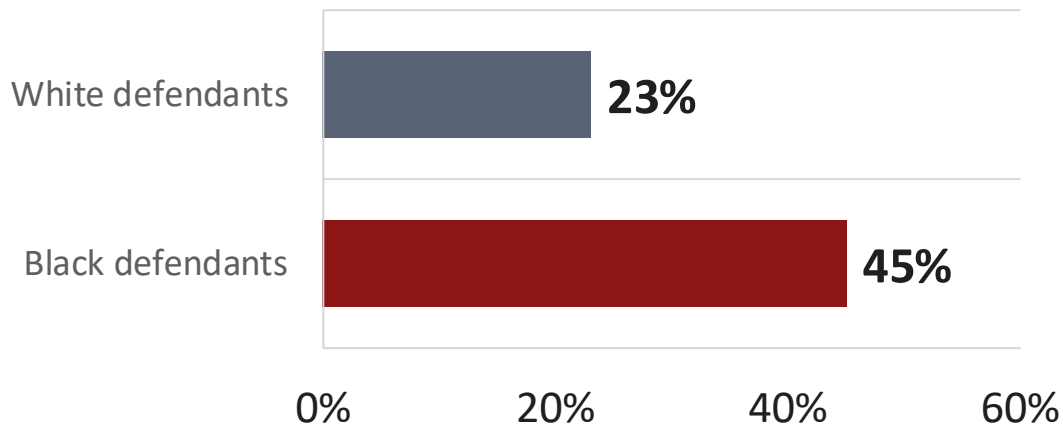


*These charts show that scores for white defendants were skewed toward lower-risk categories. Scores for black defendants were not.  
(Source: ProPublica analysis of data from Broward County, Fla.)*

# ProPublica: Compas tool had unequal error rates

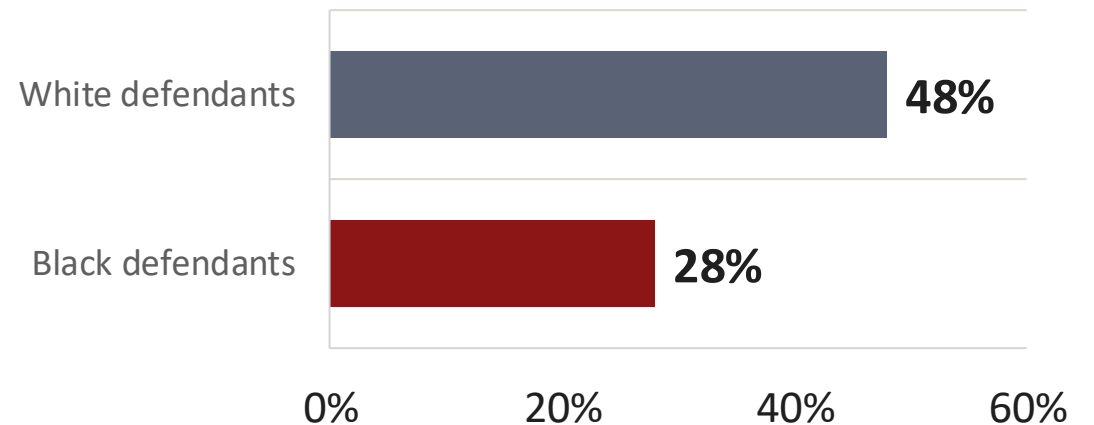
## False positives

Among people with no new arrest:  
higher risk classification



## False negatives

Among people with a new arrest:  
low risk classification



Broward County, Florida. Two-year rearrest outcome. “Higher risk” combines medium and high scores (5–10).  
Reported percentages rounded.

# Criminal justice: COMPAS and the due-process problem

Important—but analytically distinct from a civil-rights disparate-impact case.

## State v. Loomis, 2016 WI 68, 371 Wis. 2d 235, 881 N.W.2d 749

### THE TOOL

COMPAS is a proprietary risk-assessment instrument used to estimate recidivism risk. Loomis challenged its use at sentencing because the proprietary model kept him from inspecting how the score was calculated.

### THE HOLDING

No due-process violation if accompanied by written cautions. Scores may not determine whether a defendant is incarcerated or the severity of the sentence, or be the determinative factor on community supervision.

### GENDER

Loomis also argued COMPAS's use of gender violated due process. The court held gender promoted statistical accuracy, and he had not shown the sentencing court relied on it.

### THE BIAS DEBATE

The racial-disparity controversy came largely from outside the holding—especially ProPublica's 2016 analysis of error rates by race. Loomis illustrates opacity and validation concerns more than disparate-impact liability.

# AI discrimination litigation: the emerging map

The leading U.S. cases still mostly involve specialized algorithms, not general-purpose LLMs.

## EMPLOYMENT

Mobley v. Workday, Inc., 740 F. Supp. 3d 796 (N.D. Cal. 2024)

Algorithmic applicant screening • Title VII / ADA / ADEA

Status: nationwide ADEA collective conditionally certified (2025)

## HOUSING

Louis v. SafeRent Solutions, LLC, 685 F. Supp. 3d 19 (D. Mass. 2023)

Algorithmic tenant scoring • Fair Housing Act

Status: class settlement approved (2024)

## AD DELIVERY

United States v. Meta Platforms, Inc., No. 1:22-cv-05187-JGK (S.D.N.Y. June 27, 2022)

ML delivery of housing ads • Fair Housing Act

Status: settlement and final judgment

## AUTOMATED REJECTION

EEOC v. iTutorGroup, Inc., No. 1:22-cv-02565-PKC-PK (E.D.N.Y. Sept. 8, 2023)

Programmed age cutoffs • ADEA

Status: consent decree

**Separate constitutional line: State v. Loomis, 2016 WI 68, 371 Wis. 2d 235, 881 N.W.2d 749 (due process and COMPAS risk assessment at sentencing).**

Newer fronts: vendor liability after CoreLogic (2d Cir. 2026); Harper v. Sirius XM (E.D. Mich. 2025); Kistler v. Eightfold AI (2026); ACLU charge re Intuit/HireVue (2025).

# Disparate impact varies by statute

The same algorithm can face different tests depending on the decision it informs.

## TITLE VII

### *Employment*

- Griggs; § 2000e-2(k)
- Business necessity, then less discriminatory alternative
- Uniform Guidelines: four-fifths rule of thumb

## ADEA

### *Employment, age 40+*

- Smith; Meacham
- Defense: reasonable factor other than age (employer bears burden)
- Applicants? Kleber (7th Cir.) and Villarreal (11th Cir.): no

## FAIR HOUSING ACT

### *Housing, ads, insurance*

- Inclusive Communities (2015): cognizable, but “robust causality” required
- HUD rule, 24 C.F.R. § 100.500 (rescission proposed 2026)
- CoreLogic: proximate cause

## ECOA

### *Credit*

- Disparate impact formerly recognized in Reg B commentary
- Adverse-action notices must give specific reasons
- CFPB repeals disparate impact test (April 22, 2026)

42 U.S.C. § 2000e-2(k); 29 C.F.R. pt. 1607; 29 U.S.C. § 623(a)(2), (f)(1); *Tex. Dep’t of Hous. & Cmty. Affairs v. Inclusive Cmty. Project, Inc.*, 576 U.S. 519 (2015); 24 C.F.R. § 100.500; 15 U.S.C. § 1691; 12 C.F.R. § 1002.9; CFPB Circular 2022-03 (May 26, 2022).

# Employment: disparate impact versus encoded treatment

## Mobley v. Workday, Inc.

740 F. Supp. 3d 796 (N.D. Cal. July 12, 2024) • No. 3:23-cv-00770-RFL

- Applicant alleges Workday’s AI screening tools rejected him on race, age, and disability grounds.
- July 2024: disparate-impact claims proceed on the theory that Workday acts as employers’ “agent.”
- May 16, 2025: nationwide ADEA collective conditionally certified (applicants 40+ since Sept. 24, 2020); July 2025: scope extended to HiredScore AI features.
- Court allowed applicants’ ADEA disparate-impact claims—contrary to the en banc 7th and 11th Circuits (Kleber; Villarreal).
- Notice sent to the collective; opt-in deadline Mar. 7, 2026. Workday reported ~1.1 billion rejected applications in the period.

Significance: closest major employment case to the problem of delegating screening to an AI vendor.

## EEOC v. iTutorGroup, Inc.

No. 1:22-cv-02565-PKC-PK (E.D.N.Y. Sept. 8, 2023)  
(consent decree)

- EEOC alleged software automatically rejected female applicants age 55+ and male applicants age 60+.
- More than 200 qualified applicants were allegedly rejected.
- \$365,000 settlement plus injunctive relief.

Significance: algorithmic automation does not convert an intentional classification into a disparate-impact case; this is essentially disparate treatment implemented in code.

# Housing: scoring applicants and steering ads

Who gets approved—and who sees the opportunity in the first place

## Louis v. SafeRent Solutions, LLC

685 F. Supp. 3d 19 (D. Mass. 2023) • No. 22-cv-10800-AK

- Housing-voucher holders challenged SafeRent’s tenant-screening score on behalf of Black and Hispanic applicants.
- Theory: neutral inputs such as credit history and non-tenancy debt disproportionately harmed Black and Hispanic applicants.
- Court held plaintiffs plausibly alleged FHA disparate impact and that SafeRent could be subject to the FHA.
- Nov. 2024: ~\$2.3M class settlement approved; for five years, no SafeRent scores or accept/deny recommendations for voucher holders.

Significance: a vendor’s algorithmic score itself can be the challenged housing practice.

## United States v. Meta Platforms, Inc.

No. 1:22-cv-05187-JGK (S.D.N.Y.) • filed June 21, 2022; judgment June 27, 2022

- DOJ alleged Meta’s housing-ad system discriminated in targeting and delivery based on FHA-protected traits.
- Case alleged both disparate treatment and disparate impact.
- Settlement ended Special Ad Audience for housing and required a Variance Reduction System to reduce delivery disparities.
- \$115,054 civil penalty (the FHA maximum); third-party compliance review.

Significance: civil-rights law can reach algorithmic allocation of access to an opportunity—not only the final decision.

# Vendor liability and newer fronts

Who is responsible when the screening tool belongs to someone else?

## Conn. Fair Housing Ctr. v. CoreLogic

Nos. 23-1118, 23-1166 (2d Cir. Feb. 20, 2026)

- Tenant-screening product (CrimSAFE) flagged an applicant’s criminal record; landlord denied the move-in.
- 2023 bench trial: judgment for CoreLogic on the FHA claims.
- Second Circuit affirmed: the FHA can reach non-landlord defendants, but no proximate cause—the landlord kept control of screening criteria and decisions. Fair-housing organization lacked standing.

Significance: compare Louis and Mobley’s “agent” theory—vendor liability may turn on how much the tool actually decides.

## Harper v. Sirius XM (E.D. Mich. 2025)

iCIMS scoring allegedly used race proxies (schools, zip codes); ~150 rejections. Title VII and § 1981; treatment and impact; class allegations.

## Kistler v. Eightfold AI (2026)

AI “match scores” as consumer reports: FCRA and California ICRAA claims—no showing of discrimination required.

## ACLU charge re Intuit / HireVue (2025)

AI video interview; deaf Indigenous applicant denied promotion. ADA, Title VII, Colorado law. HireVue disputes that AI scoring was used.

*Conn. Fair Hous. Ctr. v. CoreLogic Rental Prop. Sols., LLC*, Nos. 23-1118, 23-1166 (2d Cir. Feb. 20, 2026); *Harper v. Sirius XM Radio, LLC*, No. 2:25-cv-12403 (E.D. Mich. filed Aug. 4, 2025); *Kistler v. Eightfold AI, Inc.* (Cal. filed Jan. 20, 2026); *ACLU of Colo. charge re Intuit/HireVue* (CCRD & EEOC, Mar. 19, 2025).